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How I Go about Finding a Growth Stock

After the publication of the original edition of *Common Stocks and Uncommon Profits*, I began receiving an amazing, to me, number of letters from readers all over the country. One of the most common requests made was for more detailed data about just what an investor (or his financial advisor) should do to find investments that will lead to spectacular gains in market price. Since there is so much interest in this matter, it may be beneficial to include some comments on this subject here.

Doing these things takes a great deal of time, as well as skill and alertness. The small investor may feel a disproportionate amount of work is involved for the sums he has at his disposal. It would be nice, not only for him but also for the large investor, if there were some easy, quick way of selecting bonanza stocks. I strongly doubt that such a way exists. How much time should be spent on these matters is, of course, something each investor must decide for himself in relation to the sums he has available for investment, his interests, and his capabilities.

I cannot say with any assurance that my method is the only possible system for finding bonanza investments. Nor can I even be completely sure that it is the best method although, obviously, if I thought some other available approach were better I would not be using this one. For some years, however, I have followed the steps I am about to outline in detail; doing this has worked and worked well for me. Particularly in the highly important earlier stages, someone else with greater background knowledge, better contacts, or more ability might make some important variations in these methods and attain further improvement in over-all results.

There are two stages in the following outline, at each of which the quality of the decisions made will have tremendous effect upon the financial results obtained. Everyone will recognize instantly the overwhelming importance of the decision at the second of these two critical points, which is, "Do I now buy this particular stock or do I not?" What may not be as easy to recognize is that right at the start of an organized method for selecting